HFDC Bank Accounts – Master Product & Operations Manual

Version: 1.0
Effective Date: Draft
Jurisdictional Assumption: India (adaptable to other geographies)
Audience: Branch & Digital Banking, Operations, Compliance/Legal, Risk, Finance/Treasury, Cards & Payments, IT/Engineering, Fraud & Collections, Audit, CX

---

1) Product Family Overview

HFDC offers deposit accounts for **individuals, small businesses, corporates, NRIs**, and **special segments**. All retail products follow **Fair Practices**, **Key Facts Sheet (KFS)** style disclosures, **KYC/AML**, and **data-privacy** guidelines.

Primary Goals

- Enable **payments & collections** (UPI/IMPS/NEFT/RTGS, cards, cheques).
- Offer **savings & investment** (interest-bearing deposits).
- Provide **working capital transacting** (current accounts & OD).
- Enable **digital banking** first (mobile/internet banking, APIs).

---

2) Account Types (Portfolio & Positioning)

2.1 Savings Accounts (Resident)

1. **SA-Basic (No-frills/BASIC)**
    - Zero/low minimum balance, limited free transactions, digital passbook, RuPay/Visa debit card (basic variant).
    - Ideal for financial inclusion & first-time bankers.
2. **SA-Classic (Standard Savings)**
    - Moderate minimum balance, tiered interest, cheque book, UPI/IMPS, ATM/debit card, internet/mobile banking.
    - Auto-sweep to TD optional.
3. **SA-Salary (Corporate Payroll)**
    - **Zero balance** (tied to employer), instant digital onboarding, premium card variants by employer category, special loan pre-approvals.

    - Convert to SA-Classic after **salary stop** beyond X months.

4. **SA-Premium (Affluent)**
    - Higher minimum balance (or bundled relationship value), better rates, airport lounge (debit), free DD/RTGS/NEFT quotas, family banking links.
5. **SA-Minor / Guardian-Operated**
    - For <18 years; guardian KYC and operating mandate. Converts to adult account on majority.
6. **SA-Senior (60+/Super Senior)**
    - Preferential branch service, higher free limits, special FD/RD rates, doorstep banking (where available).
7. **SA-Joint/Family**
    - Joint operations (E or S / Jointly). Family pooling for MAB waivers.
8. **SA-Digital-Only**
    - App-first onboarding, virtual debit card; optional physical kit; higher free digital transactions.

2.2 Current Accounts (Non-interest bearing; Business)

1. **CA-Starter (Sole/Small Business)**
    - Low MAB, digital collections (QR/UPI), cheques, POS/PG on-boarding, GST integration.
2. **CA-Standard / CA-Plus**
    - Higher free limits, cash/cheque handling slabs, multi-user roles, maker-checker, API banking.
3. **CA-Premium / Enterprise**
    - CMS/host-to-host, VAs, collections & payouts (bulk), liquidity sweeps (ZBA), Forex desk, trade services link.
4. **CA-Agri/Professionals**
    - Specialty pricing/limits for doctors, CAs, lawyers, small traders; OD eligibility.

2.3 Term Deposits (TD) & Recurring Deposits (RD)

1. **TD-Standard**

    - Tenor 7 days–10 years, simple/compound interest options, cumulative/non-cumulative.

2. **TD-TaxSaver (if offered)**
    - 5-year lock-in, specific tax treatment (illustrative; confirm with prevailing laws).
3. **TD-Flexi (Sweep-In/Out)**
    - Auto-sweep from savings above threshold into linked FDs; auto-reverse to fund transactions.
4. **RD (Monthly Installment)**
    - Tenor 6–120 months; auto-debit from SA/CA.

2.4 NRI/Foreign Currency Accounts (Where permitted)

1. **NRE Savings / NRE TD** – Repatriable, funded from overseas.
2. **NRO Savings / NRO TD** – Non-repatriable (subject to rules), for income in India.
3. **FCNR(B) TD** – Foreign currency time deposit, principal & interest in FCY.
4. **RFC (Resident Foreign Currency)** – For returning NRIs (policy-based).

All NRI accounts follow FEMA rules, FATCA/CRS, and RBI-style reporting equivalents (illustrative).

---

3) Features, Pricing & Limits (Illustrative)

3.1 Savings (SA)

- **Interest Credit:** Quarterly/Monthly on daily closing balance; tiered slabs.
- **MAB (Monthly Average Balance):**
    - SA-Basic: ₹0–₹2,500; SA-Classic: ₹5,000–₹25,000; SA-Premium: ₹1L–₹5L.
- **Debit Card:** Domestic/international variants; contactless; per-day ATM/POS limits by tier.
- **Transactions:** Free IMPS/UPI; NEFT/RTGS per slab; cheque book leaves free per quarter.
- **Overdraft:** Optional **OD against FD** or clean OD for payroll (policy-based).

3.2 Current (CA)

- **Interest:** Generally Nil (per policy/regulation).
- **MAB/AMB:** Tiered by CA variant.
- **Cash Handling:** Free up to X times MAB or capped value per month; charges thereafter.
- **Payments:** Bulk NEFT/RTGS/API payouts; UPI for business handles; POS/PG onboarding.
- **Add-ons:** Corporate debit cards, expense cards, sub-limits, VPA allocation, virtual accounts.

3.3 TD/RD

- **Rates:** Board-published slab by tenor; senior citizen add-on; premature withdrawal penalty grid (except special schemes).
- **Payout:** Monthly/Quarterly/On maturity; TDS per tax rules unless Form 15G/15H.
- **Partial/Full Breaking:** As per product; sweep-in follows **LIFO** (last in, first out).

3.4 NRI

- **Currency/Repatriation:** NRE/FCNR fully repatriable; NRO repatriation limited.
- **KYC:** Passport/visa/OCI, overseas address proof, FATCA/CRS, embassy notarization/apostille (as required).
- **Interest & Tax:** As per prevailing tax & FEMA rules.

Tariff Card & **KFS** must list **all fees/charges**: non-maintenance fees, cash deposit/withdrawal charges, cheque book beyond free limits, card annual/renewal, ATM usage, NEFT/RTGS charges, SMS alerts (if any), stop payment, DD/PO issuance, dormancy reactivation, statement/duplicate, address change (if charged), lien removal, premature TD penalty, locker rent & break open charges.

---

4) Eligibility & Documentation (Checklists)

4.1 Individuals (Residents)

- **KYC:** PAN; OVD (Aadhaar—voluntary/Passport/DL/Voter ID).
- **Address Proof:** Utility bill/bank statement/passport/Aadhaar (voluntary).
- **Photo, Mobile, Email** verification; FATCA/CRS self-cert (if applicable).
- **Minors:** Birth certificate/School ID; guardian KYC; declaration of operation.
- **Senior:** Standard KYC + senior benefits opt-in.

4.2 NRIs/OCIs

- **Passport, Visa/OCI**, overseas address proof, Indian address (if any), **FATCA/CRS**.
- **Mode of Submission:** In-person/Video KYC/attestation by embassy/notary (as permitted).
- **Declarations:** FEMA purpose, PEP/sanctions, source of funds.

4.3 Non-Individuals (CA)

- **Entity KYC:** PAN/TAN, GST, UDYAM (if MSME), Incorporation documents (MOA/AOA/LLP/Partnership Deed), Board/Partner resolution, List of authorized signatories, Beneficial Ownership (as per KYC rules), Address proof.
- **Operation Mandate:** Signing rules, maker-checker for digital channels.
- **Other:** Shop & Establishment license, professional registrations, permits (as applicable).

---

5) Account Opening Journeys (Omni-Channel)

5.1 Digital (Resident individuals; selected NRIs as permitted)

1. **Pre-screen:** Mobile/email verification, risk geolocation, dedupe.
2. **eKYC/Video KYC:** Liveness, face-match, OCR, PAN validation, sanctions/PEP checks.
3. **Account Selection & KFS:** Show tariffs, MAB, interest, benefits; accept consents.
4. **Nomination & Operating Mandate:** Nominee capture; joint E or S/J orjo; PoA (if NRI).
5. **Funding:** UPI/IMPS or later; debit card digital issuance (virtual); physical kit optional.
6. **Channel Setup:** NetBanking/Mobile, UPI ID, debit PIN, alerts.
7. **Welcome & Activation:** Limits per KYC type until F2F/Video completed (if staged).

5.2 Branch

- Application + KYC verification (original seen & verified); risk rating; account creation; cheque book/debit card kit; channel enrolment; customer education.

5.3 Current Accounts

- Additional **entity & mandate documents**; site visit/business verification; negative list/industry risk checks; activation post approval.

---

6) Lifecycle Management (End-to-End)

A) Onboarding & Activation

- **CIF Creation** → **Account Creation** → **KYC & Risk tag** (Low/Medium/High) → **Welcome Kit** → **Channel Enablement** → **Debit Card/cheque** → **First Funding**.

Controls

- Dedupe (name/PAN/mobile/email/device).
- Sanctions/PEP screening; adverse media (risk-based).
- E-sign/e-mandate logs; audit trail.

B) In-Life Servicing

- **Payments:** UPI/IMPS/NEFT/RTGS; scheduled transfers; standing instructions; e-mandates/eNACH.
- **Cash & Cheques:** Deposits/withdrawals; CTS clearing; stop payments; inward/outward returns handling.
- **Channel Management:** Reset passwords/PINs; device binding; transaction limits per risk.
- **Account Changes:** Address/mobile/email, nominee update, add/remove joint holder, conversion of account type (salary→classic), lien marking/unmarking, overdraft link to FD.
- **Statements & Certificates:** e-statements, interest/TDS certificates.
- **Debit Card:** Renewal, replacement, hotlisting, controls (domestic/international, online/contactless toggles, per-txn limits).
- **Alerts:** SMS/email/app push for transactions, low balance, suspicious activity.

C) Pricing/Fees Application

- **MAB review:** Monthly; shortfall charges auto-debit as per tariff.
- **Transaction fees:** As per slabs; visible in statement with clear narration.
- **Waivers/Offers:** Salary program waivers, relationship-value waivers, senior citizen concessions.

D) Risk, Compliance & Monitoring

- **AML Monitoring:** Threshold alerts (cash, structuring), unusual patterns, high-risk geographies; case management.
- **Periodic KYC (pKYC):** At prescribed cycles per risk category (Low/Medium/High).
- **Dormancy:** Inoperative tagging (no customer-induced transactions for X months); reactivation with KYC refresh.
- **Lien & Freezing:** On regulatory orders, tax attachments, court orders; proper notices.
- **Sanctions Rescreening:** Periodic rescan of CIFs.
- **Chargebacks (cards) / Disputes:** Dispute desk with SLAs; unauthorized electronic transaction framework (time-bound reporting & liability grid).

E) Special Events

- **Deceased Customer Handling:** Mark account; freeze; gather documents (death certificate, succession certificate/Will/probate or survivorship mandate); settle claims; close/transfer.
- **Insolvency/Bankruptcy:** Legal holds; coordinate with official liquidator.
- **Fraud Cases:** Immediate block, SAR/STR filing as required; customer communication; restitution process.

F) Interest, Tax & Reporting

- **Interest Computation (SA/TD/RD):** Daily balance basis; credit at specified periodicity.
- **TDS:** Deduct as per rules; allow 15G/15H capture; issue TDS certificates.
- **Regulatory Reports:** KYC, cash transactions, NR returns (for NRI), deposit insurance base (if applicable), AML reports.

G) Renewal & Maturity (TD/RD/Sweep)

- **TD/RD Maturity Alerts:** 30/15/7 days prior; auto-renew rules (default) or pay-out to linked account.
- **Sweep Reversals:** Follow LIFO; honour transaction first; break FD slabs accordingly; apply partial breakage penalty if applicable.

H) Closure

- **Savings/Current:** Customer request via app/branch; settle charges/dues; return unused cheque leaves; destroy debit card; provide **closure confirmation** & final statement; UPI handle release.
- **TD/RD:** Pay-out principal + interest (net of TDS) or transfer; issue certificate.
- **NRI:** Ensure **repatriation documentation** where required; close and update status with regulator reports.
- **Turnaround:** Within **T+7 business days** post request (illustrative SLA).

---

7) Interest, MAB & Illustrations (Examples)

These examples are indicative; your CBS will compute exact results.

7.1 Savings Interest (Daily Balance; Quarterly Credit)

- **Balance pattern (₹):** 0–14th: 80,000; 15–30th: 20,000
- **Annual Rate:** 3.5%
- **Interest for Month:**
  - (80,000 × 14/365 × 3.5%) + (20,000 × 16/365 × 3.5%)
  - Quarter = sum of three months; credit on quarter-end.

7.2 TD Interest (Cumulative)

- **Principal:** ₹5,00,000; **Tenor:** 1 year; **Rate:** 7.25% p.a.
- **Maturity Value ≈** ₹5,36,250 (approx; compounding convention per bank).

7.3 MAB Calculation (Illustrative)

- **Daily end-of-day balances** summed over calendar month ÷ **days in month**.
- **Shortfall charge** applies if MAB < threshold; waived for SA-Salary while salary credit continues.

---

8) Cheque, Cards, UPI & Payments – Operational Notes

- **Cheques:**
  - **CTS clearing** T+1 credit; **local** vs **outstation** handling per clearing house; stop-payment before presentment; cheque return reasons (insufficient funds, signature mismatch, etc.).

    - **Cheque Book Controls:** Leaf inventory, issuance logs, undelivered returns handling.
- **Debit Cards:**
    - **PIN** at issuance; **3-D Secure** for e-commerce; **contactless** by default with per-txn limits; **international** disabled until customer enables.
    - **Controls in App:** Enable/disable channels, set limits, location/MCC controls.
- **UPI/IMPS/NEFT/RTGS:**
    - **UPI:** Handle creation; mandate limits; risk rules (velocity, new payee cooling).
    - **IMPS:** 24x7; per-txn limits; high-risk payee cooling.
    - **NEFT/RTGS:** Scheduled windows; large value transfers; beneficiary activation & limits.
- **Standing Instructions/Auto-debits:** eNACH/e-mandate; failure/bounce charges; alerts.

---

9) Risk, Fraud & EWS (Early Warning)

Scenario	Red Flags	Mitigations
Identity fraud	Inconsistent KYC, device fingerprint mismatch	Video KYC with liveness; dedupe; geo-IP checks
Mule accounts	High in/out with no economic purpose; many counterparties	Pattern analytics; freeze & report; enhanced due diligence
Cheque kiting	Alternating deposits/withdrawals to float	Velocity rules; float controls; hold policies
UPI/social scams	Many small credits then rapid large outward	New beneficiary cooling; step-up auth; transaction profiling
Dormant account take-over	Old accounts reactivated + quick withdrawals	Strong reactivation KYC; contact confirmation; OTP & device checks

Scenario	Red Flags	Mitigations
Trade-based laundering (CA)	Complex round transactions; shell entities	Beneficial owner checks; site visits; invoice/sample checks (risk-based)

Portfolio EWS

- Surge in returns/bounces, unusual cash activity, clusters by pincode/DSA, non-submission of pKYC, spike in suspicious UPI handles.

---

10) Legal, Compliance & Conduct (Indicative)

- **KYC/AML/CTF:** As per Master Directions; **CDD**, **EDD** for high-risk; **beneficial ownership** for entities; **periodic KYC** per risk.
- **Sanctions/PEP:** Screening at onboarding & periodic; list management.
- **Deposit Insurance:** Disclose coverage (if applicable in jurisdiction).
- **Dormant/Unclaimed Deposits:** Process & escalation; publish retrieval mechanism.
- **Customer Protection:** Publish **KFS**, **tariff**, **interest calculation method**, **grievance redressal** with defined TATs and ombuds escalation.
- **Data Privacy:** Consent, purpose limitation, retention, customer rights; secure data handling.
- **Regulatory Reporting:** Cash, suspicious transactions, NRI returns, tax/TDS, unclaimed deposits, fraud reporting.

---

11) IT, Data & Security

- **Core Banking System (CBS):** CIF, account ledger, interest engine, standing instructions, lien/hold.
- **Digital Channels:** Mobile/internet banking, APIs for payments/collections; **RBAC** and maker-checker.
- **Security:** Encryption at rest/in transit, tokenization of PAN/card data, **HSM** for keys, **PCI DSS** for card environment, **ISO 27001** controls.
- **Monitoring:** SIEM, UEBA, fraud/risk engine (behavioral analytics), device binding.

- **BRS & Reconciliation:** Daily payments file recon (UPI/IMPS/NEFT/RTGS/ATM/POS); suspense clearance.

---

12) Operations, SLAs & Controls

Maker–Checker–Approver

- Maker (branch/digital ops) → Checker (ops QA) → Approver (Ops supervisor/Compliance for exceptions).

Key SLAs (Illustrative)

- Digital SA opening (limited KYC): **Instant**; full KYC **T+1/T+2** via VKYC/F2F.
- Debit card dispatch: **T+2–T+5**; PIN instant (green PIN).
- Address/mobile/email change: **T+1** (post verification).
- Cheque book issuance: **T+1–T+3**.
- Dispute acknowledgement: **T+1**; resolution as per product (UPI/IMPS/NEFT cards).
- Account closure: **≤ T+7** (post dues clearance).
- TD/RD opening: **Instant** (CBS); certificates **T+1**.

Controls

- Undelivered kit returns handling; KYC exception queue; transaction monitoring dashboards; audit trails; vault controls for physical documents/cheque leaves; surprise branch audits.

---

13) Customer-Facing: How to Open & Use

Open an Account (Savings)

1. Choose product (Basic/Classic/Salary/Premium) and review **KFS**.
2. Complete **eKYC/Branch KYC** with PAN, OVD, photo & contact details; add **nominee**.
3. Fund account via UPI/IMPS/cheque/cash; get **debit card**, cheque book, **UPI handle**, app login.
4. Set card/app controls (online/contactless/international).
5. Maintain **MAB** (if applicable); track fees/interest in statements.

Open a Current Account (Business)

1. Submit entity KYC, resolutions, signatory list, beneficial ownership details.
2. Complete business verification/site visit; select plan & pricing.
3. Activate payments (UPI/NEFT/RTGS), cheque book, **API banking/CMS** (if chosen).
4. Set user roles (maker/checker/approver) and limits.
5. File GST details, integrate POS/PG if needed.

Open a TD/RD

1. Pick tenor & payout; link to SA for auto-sweep or monthly credit.
2. Understand premature penalty; capture Form 15G/15H if applicable.
3. Receive e-certificate; track maturity in app; auto-renew or payout on maturity.

NRI Accounts

1. Choose NRE/NRO/FCNR; complete overseas KYC with FATCA/CRS; provide inward remittance proof.
2. Set repatriation preferences per regulations; nominate local contact if needed.
3. Manage remittances via authorized channels; maintain regulatory documents.

---

14) Example "Key Facts Sheet" Elements (Per Product)

Savings – SA-Classic (Illustrative)

- **MAB:** ₹10,000
- **Interest:** 3.50% p.a. (daily balance, quarterly credit)
- **Free Transactions:** UPI/IMPS unlimited; NEFT/RTGS—X free/month; ATM—5 domestic/month; Cheque leaves—20/quarter
- **Fees:** Non-maintenance ₹150–₹500/month slabbed; cheque stop ₹100; duplicate statement ₹50; card annual ₹200; international usage mark-up 3%
- **Closure Fee:** Nil after 14 days cooling; ₹300 within 14 days (kit cost recovery)
- **Grievance:** Email/phone; escalation to Nodal Officer; Ombudsman path & TAT

Current – CA-Standard (Illustrative)

- **AMB:** ₹50,000

- **Cash Handling:** Free up to ₹5L/month; then ₹2/₹1,000
- **NEFT/RTGS/IMPS:** Bulk APIs enabled; per-txn limits documented
- **Cheque Book:** 100 leaves/month free; beyond ₹2/leaf
- **CMS/API:** Setup fee; monthly platform fee (waivable on volumes)

TD – TD-Standard

- **Tenor:** 7 days–10 years; **Rate card** per slab; **Premature penalty:** 0.5%–1%
- **Auto-renew:** Yes (default); **Payout:** To linked SA/credit to TD account
- **TDS:** As per tax rules; form capture supported

---

15) Templates & Forms (Operational Extracts)

- **AOF (Account Opening Form) & KYC Checklists** – Resident, NRI, Non-Individual
- **Operating Mandate** – E or S / Jointly / Former or Survivor / PoA (NRI)
- **Nomination Form & Update Form**
- **Change Requests** – Address, Email, Mobile, Mode of Operation
- **Dormancy Reactivation** – KYC refresh checklist
- **Deceased Claim** – Survivor/Legal Heirs/Claim Settlement forms
- **Lien/Freeze/Unfreeze** – Authorized order formats and SLA

---

16) Governance, Audit & Training

- **Governance:** Annual Board approval of Deposit Policy & Tariff; interim updates for regulatory changes.
- **Audit:** Internal audit of KYC, account opening, kit/cheque inventory, transaction monitoring, dormancy/unclaimed handling, dispute SLAs.
- **Training:** KYC/AML, pKYC refresh, UPI/IMPS operations, CTS clearing, fraud red flags, customer conduct, data privacy, dispute handling.

---

17) Glossary

- **MAB/AMB:** Monthly/Average Monthly Balance.

- **CTS:** Cheque Truncation System.
- **KFS:** Key Facts Sheet (customer-facing disclosure).
- **UPI/IMPS/NEFT/RTGS:** Instant and scheduled payment rails.
- **EDD:** Enhanced Due Diligence.
- **FATCA/CRS:** Foreign account tax compliance/common reporting standards.
- **PEP:** Politically Exposed Person.
- **CIF:** Customer Information File.
- **LIFO:** Last In First Out (for sweep-in breaking).
- **PoA:** Power of Attorney.
- **ZBA:** Zero Balance Account (liquidity sweeps).

---

18) Launch Readiness Checklist

- ✅ Board-approved **Deposit Policy**, **KYC/AML procedures**, **Tariff** & **KFS**
- ✅ CBS product setup with **interest engines**, **fee rules**, **MAB logic**
- ✅ Digital onboarding (eKYC/Video KYC), **UPI handle**, **debit card** issuance flows
- ✅ Payments rails recon (UPI/IMPS/NEFT/RTGS), cheque clearing, **BRS**
- ✅ NRI account workflows (FATCA/CRS, FEMA reporting)
- ✅ Dormancy & unclaimed deposit process; deceased claim SOP
- ✅ AML monitoring scenarios & STR/SAR escalation paths
- ✅ Data privacy notices, consent registry, retention schedules
- ✅ Branch & CX training, scripts, and escalation matrix
- ✅ MIS dashboards: acquisition, MAB compliance, fee waivers, dormancy, AML alerts, disputes TAT